loans and advances by loanees of the government and receipts from sale of investments in public sector and other entities. These are accounted for under the broad head of non-debt receipts.

2019–20: RBI Dividend Led to Better than Budgeted Non-Tax Revenue Performance

The Union government budgeted Rs 3.13 lakh crore as non-tax revenues for financial year 2019–20. Interest receipts were estimated to yield Rs 13,711 crore, dividend and profits Rs 1,63,528 crore and other tax receipts Rs 1,33,790 crore. All these estimates were higher than the actual revenues received in financial year 2018–19 at Rs 2.35 lakh crore. Aggregated, non-tax revenues were expected to grow by over 33 per cent in the year.

Actual non-tax revenues came in higher. The government received Rs 3.27 lakh crore as non-tax revenues. Dividends and surpluses received at Rs 1,86,133 crore beat the budget estimates of Rs 1,63,528 crore by a good margin. There was some shortfall in both interest receipts and other non-tax revenues.

There are two broad groups of entities from which dividends and share in profits flow to the government. The Budget recognizes these as dividends from public-sector enterprises and other investments, and dividend/surplus of RBI, nationalized banks and financial institutions. Like the broad division of the economy in the financial sector and non-financial sector, the first group receives dividends from all the real sector public-sector companies like NTPC, Indian Oil and so on while the second group receives surplus transfers and dividends from RBI and other financial enterprises of the Government of India like banks, insurance companies and the like.

Budgeted receipt for 2019–20 from the financial entities group (dividend/surplus of RBI, nationalized banks and financial institutions) was